

**BEFORE THE
FEDERAL MARITIME COMMISSION**

HAPAG-LLOYD, A.G., AND
HAPAG-LLOYD (AMERICA) LLC –

POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-09

RESPONDENT’S OPPOSITION TO SECOND MOTION FOR LEAVE TO INTERVENE

Pursuant to 46 C.F.R. §502.68(b)(3), Respondent Hapag-Lloyd AG (“Respondent”), through the undersigned attorneys, hereby opposes the Second Motion For Leave To Intervene filed by Orange Avenue Express, Inc. (“OAE”)(hereinafter, the “Motion”).

I. Introduction

OAE seeks leave to intervene both as a matter of right under 46 C.F.R. §502.68(c)(1) and as a matter of discretion under 46 C.F.R. §502.68(c)(2)(i). As explained below, the Motion should be denied.

II. The Motion Does Not Meet The Criteria For Intervention As A Matter Of Right

The Motion must be denied because it does not meet the criteria for intervention as a matter of right.

Under 46 C.F.R. §502.68(c)(1), intervention as a matter of right is to be granted to anyone:

...who claims an interest relating to the property or transaction that is the subject of the proceeding, and is so situated that disposition of the proceeding may as a practical matter impair or impede the ability of such person to protect its interest...

The Commission has held that in applying the foregoing regulation “The key is whether the person seeking intervention ‘will gain or lose by the direct legal operation of the judgment’ in the proceeding.” *Revocation of OTI License No. 017843 – Washington Movers, Inc.*, 34 S.R.R. 27, 31 (FMC 2016), citing *Contract Marine Carriers, Inc.*, 21 S.R.R. 1387 (FMC 1982). OAE does not meet the applicable legal standards.

As an initial matter, OAE has no interest whatsoever in the eleven (11) containers that are the subject of this proceeding, and does not claim such an interest in the Motion.

Moreover, OAE’s argument that the terms of the settlement in this docket “may” impact its pending claim against Respondent in FMC Docket No. 21-10 is baseless. OAE offers no explanation of how a settlement in Docket No. 21-09 requiring adoption of certain practices going forward will any way impact OAE’s claims with regard to past conduct. The reason for this is simple: it will not.

Finally, OAE will not gain or lose by the direct legal operation of the judgment in this proceeding for the simple reason that there is no judgment in this proceeding – there is a settlement. This fact is made clear by the Commission’s statement that “Each section 41102(c) case would continue to be decided on its particular facts...” 85 *Fed. Reg.* 29638, 29639 (May 18, 2020).¹ Given that each section 41102(c) is decided on its own facts, OAE will not gain or lose by action on the settlement in this proceeding.

In light of the foregoing, intervention as a matter of right would be inappropriate and the Motion should be denied.

¹ This is consistent with the Commission’s approach to reasonableness determinations generally, i.e., treating reasonableness as a question of fact. See, e.g., *Investigation of Free Time Practices – Port of San Diego*, 9 F.F.M.C. 525, 547 (FMC 1966)(“It is by application to the particular situation or subject matter that words such as ‘reasonable’ take on concrete and specific meaning.”)

III. The Motion Does Not Meet The Criteria For Permissive Intervention

An analysis of the criteria for granting permissive intervention demonstrates that such intervention should not be granted here, and that the Motion should be denied.

Under 46 C.F.R. §502.68(c)(2)(i), there are four criteria used to evaluate a request for leave to intervene: (i) existence of a common issue of law or fact; (ii) unduly delaying or broadening the scope of the proceeding; (iii) duplication of the position of existing party; and (iv) assisting in development of a sound record. These criteria are considered below.

A. Intervention Would Not Assist In The Establishment Of A Sound Record

Granting the Motion would not assist in establishing a sound record.

In this proceeding, the FMC is being asked to approve a settlement agreement, the terms of which speak for themselves. There is no need to develop a factual record to evaluate the criteria that are applied to the approval of settlement agreements under the Commission's regulations.

Moreover, the subjects OAE cites as examples of what it would cover in its brief are subjects that would not assist in the establishment of a sound record in this case. For example, OAE cites to the requirement that motor carriers make appointments to return empty containers and to dual transaction requirements. Both of these requirements are established by terminal operators, not ocean carriers. The settlement agreement is with an ocean carrier, and will have no impact on either of those issues.

Most importantly, OAE's allegations that there are "trip wire" requirements for motor carriers mischaracterizes the impact of the settlement. The FMC's interpretative rule "presupposes that shippers, intermediaries, and truckers have complied with their customary obligations, including those involving cargo retrieval." 85 Fed. Reg. at 29652. The settlement

agreement merely articulates some objective criteria that Hapag-Lloyd and motor carriers are able to use going forward to assess compliance with customary obligations.

Similarly, OAE's description of the settlement as creating a "safe harbor" is a mischaracterization that implies the settlement will somehow permit Respondent to engage in conduct that would not otherwise be permitted. The claim is without merit because section 41102(c) already provides regulated entities with a "safe harbor" – they can establish, observe and enforce just and reasonable practices and regulations. All the settlement does is help to define what is considered reasonable with respect to the assessment of detention charges. This is precisely what the Commission indicated it would do when it adopted the interpretative rule on demurrage and detention – refine the general guidance set forth in the interpretative rule through future adjudication. 85 Fed. Reg. at 29647.

Granting leave to intervene in this proceeding would suggest that every ocean common carrier, marine terminal operator, shipper, consignee, ocean transportation intermediary, and motor carrier would be entitled to intervene in each and every future case involving demurrage and/or detention simply because some refinement to the interpretative rule might come out of the decision in that case. Respondent submits this is not the intention of the rules on intervention.

In short, the Motion is not an attempt to assist the Commission in the development of a sound record in this case. It is an attempt by a motor carrier to complain about aspects of the FMC's interpretative rule that are not to its liking.

B. Intervention Would Unduly Broaden And Delay This Proceeding

This proceeding has been narrowly focused on the return of 11 specific containers by a motor carrier other than OAE. It has followed an accelerated procedural schedule since its inception. Allowing intervention would unduly broaden and delay the proceeding.

As noted above, OAE seeks leave to intervene to brief issues that were not part of this proceeding, such as the lawfulness of requiring appointments for empty returns and the lawfulness of dual transaction requirements. Allowing such intervention will broaden the proceeding unduly, require reply briefing by Respondent and BOE, and delay the proceeding.

In this proceeding, the Commission waived the normal pre-enforcement procedures and established a procedural schedule that required completion of a case of first impression in half the time normally allowed for a Commission proceeding. The parties were able to comply with that schedule only through extreme effort. If prompt resolution of this proceeding is important, then intervention must be denied. If intervention is granted, then the need for the expedited schedule established in this proceeding is questionable at best.

C. The Issues OAE Wishes To Brief Are Not Common

OAE's previous motion to intervene was denied in part because of factual differences between the two cases. OAE now tries to overcome that hurdle by arguing that the procedures set forth in the settlement agreement apply to all types of containers. This argument misses the mark.

As noted above, all section 41102(c) cases are decided on their own particular facts. The establishment of procedures to be followed by Hapag-Lloyd going forward do not eliminate the factual differences between OAE's claim in FMC Docket No. 21-10 and the facts in this proceeding. As also noted above, the settlement has no impact on FMC Docket No. 21-10.

In addition to the fact that the settlement agreement does not eliminate the factual differences between this proceeding and FMC Docket No. 21-10, the Motion does not identify common legal issues. The legal issues OAE cites in its Motion as examples of issues it would brief (the lawfulness of appointment systems for empty returns, and dual transaction

requirements) were not issues in this proceeding, and are not issues in FMC Docket No. 21-10. These are legal issues that OAE has with the interpretative rule, and which would be more appropriately addressed through a petition for rulemaking or a complaint proceeding in which those issues are directly presented. The Commission should not permit this proceeding to become a forum for every complaint a motor carrier might have with respect to the present operations of marine terminals.

D. Intervention Is Unnecessary In Light Of BOE's Participation

The Commission considers whether the participation of the intervenor would duplicate the position of an existing party. While strictly speaking the positions taken by OAE do not appear to be duplicative of BOE's positions at this stage of the proceeding, BOE is the enforcement arm of the Commission. As such, it has both the position and the expertise to act in the interest of the public, including motor carriers. In light of this fact, it does not appear that allowing intervention by OAE would contribute anything to this proceeding.

IV. Conclusion

For the foregoing reasons, the Motion should be denied.

Respectfully submitted,



By: _____

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Dated: June 2, 2022

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 2nd day of June, 2022, the foregoing Opposition was served via electronic mail on:

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A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is stylized with a large, looped 'W' and a cursive 'Rohde'.

Wayne R. Rohde